

TAXATION, GST, FINANCE COMMISSION AND FISCAL FEDERALISM

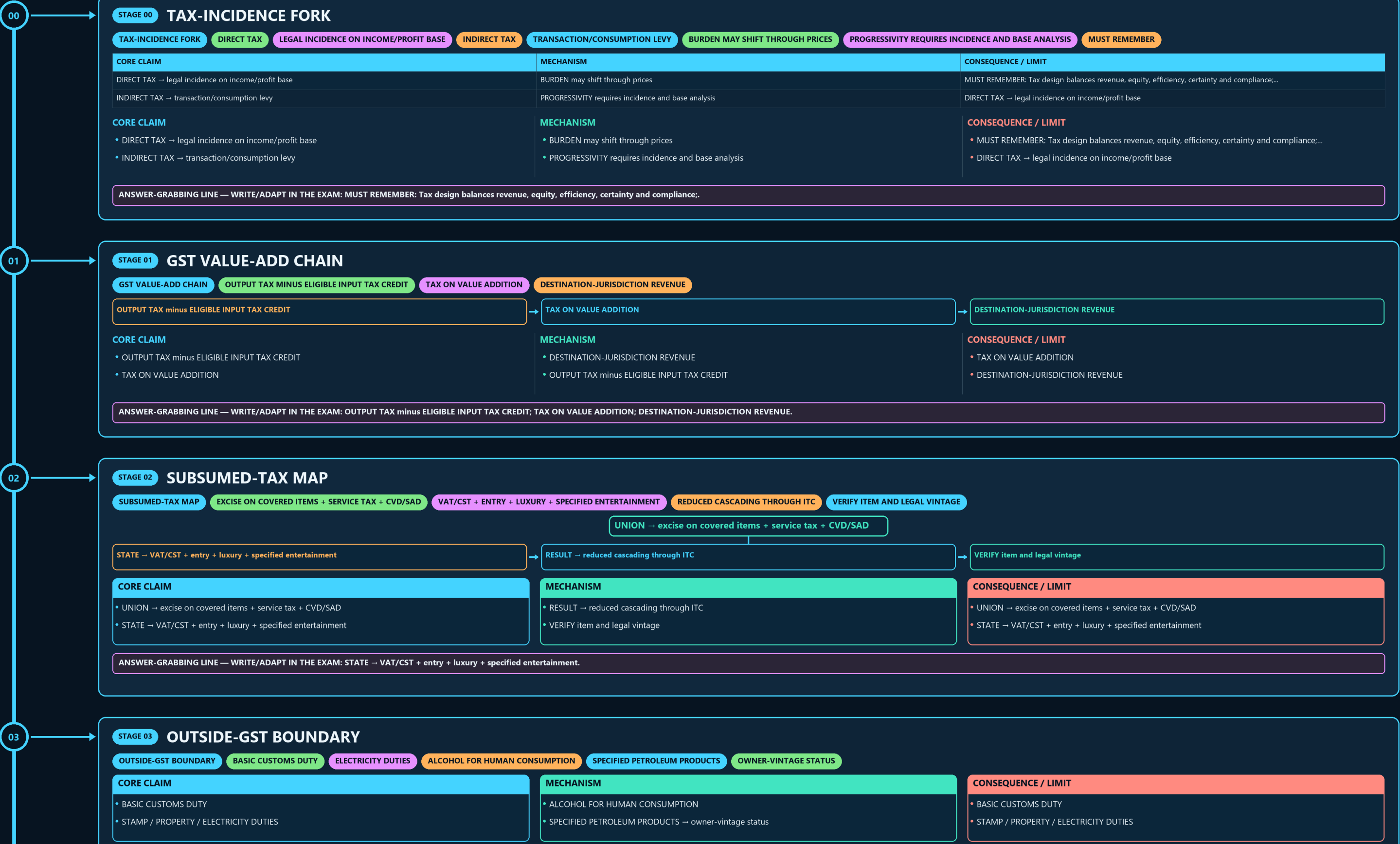
TAX-INCIDENCE FORK → GST VALUE-ADD CHAIN → SUBSUMED-TAX MAP → OUTSIDE-GST BOUNDARY → GST COUNCIL VOTING BOARD → INTER-STATE SETTLEMENT RAIL

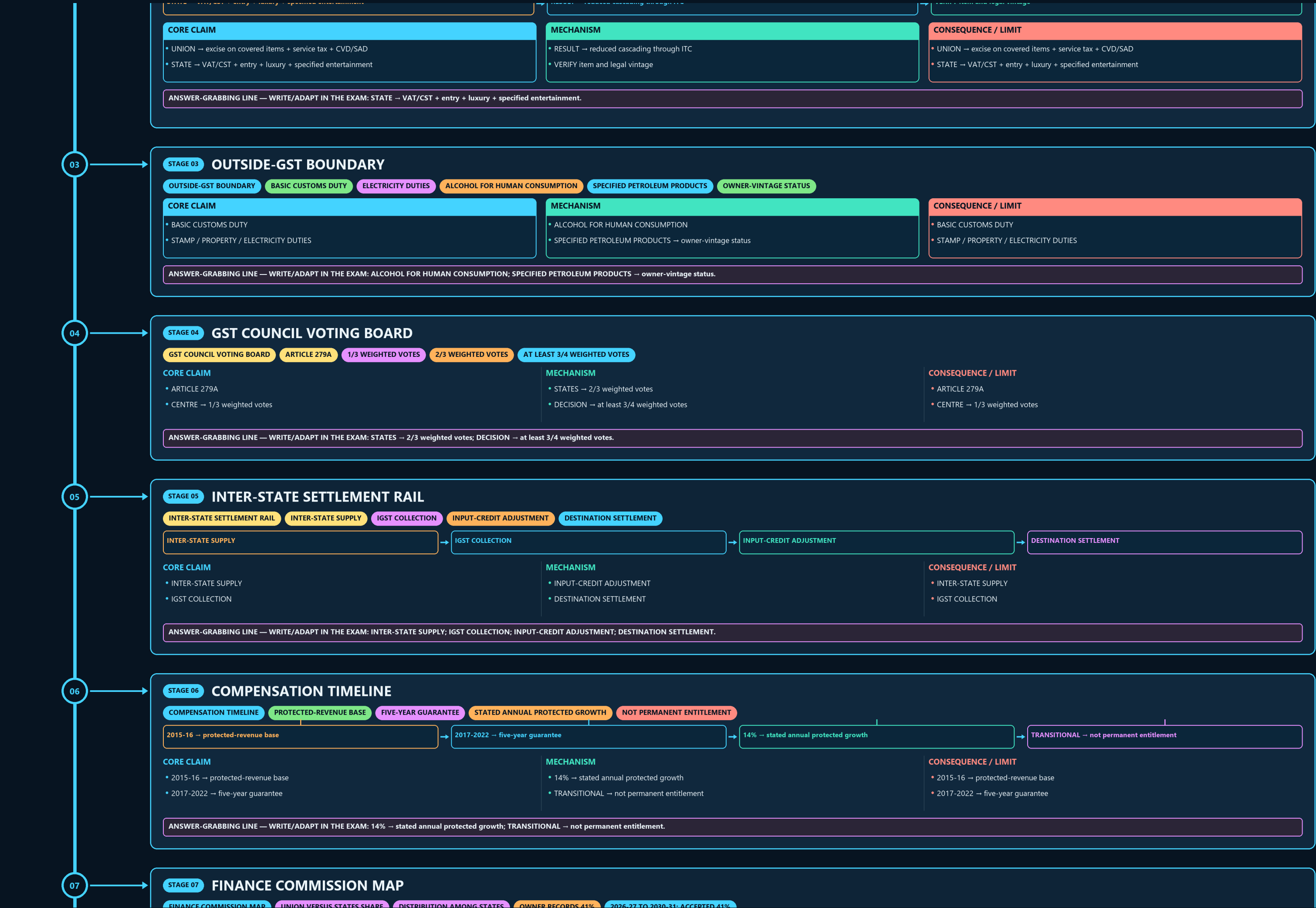
Read the thick cyan rail from Stage 00 to the final core synthesis. Each card uses a concept-appropriate structure; the grey E card is optional enrichment only and never repairs missing core content.

PRIMARY CORE FLOW SUBORDINATE EXTRA APPROVAL / REVIEW

Approval: FALSE • Pending user review • source generation g2 and all prior artifacts unchanged

CORE BEFORE EXTRA • prior artefacts unchanged • exact same master drives poster and tiles





06

STAGE 06 COMPENSATION TIMELINE

COMPENSATION TIMELINE PROTECTED-REVENUE BASE FIVE-YEAR GUARANTEE STATED ANNUAL PROTECTED GROWTH NOT PERMANENT ENTITLEMENT



CORE CLAIM

- 2015-16 → protected-revenue base
- 2017-2022 → five-year guarantee

MECHANISM

- 14% → stated annual protected growth
- TRANSITIONAL → not permanent entitlement

CONSEQUENCE / LIMIT

- 2015-16 → protected-revenue base
- 2017-2022 → five-year guarantee

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: 14% → stated annual protected growth; TRANSITIONAL → not permanent entitlement.

07

STAGE 07 FINANCE COMMISSION MAP

FINANCE COMMISSION MAP UNION VERSUS STATES SHARE DISTRIBUTION AMONG STATES OWNER RECORDS 41% 2026-27 TO 2030-31; ACCEPTED 41%

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
VERTICAL → Union versus states share	XV-FC → owner records 41%	VERTICAL → Union versus states share
HORIZONTAL → distribution among states	XVI-FC → 2026-27 to 2030-31; accepted 41%	HORIZONTAL → distribution among states

CORE CLAIM

- VERTICAL → Union versus states share
- HORIZONTAL → distribution among states

MECHANISM

- XV-FC → owner records 41%
- XVI-FC → 2026-27 to 2030-31; accepted 41%

CONSEQUENCE / LIMIT

- VERTICAL → Union versus states share
- HORIZONTAL → distribution among states

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: XV-FC → owner records 41%; XVI-FC → 2026-27 to 2030-31; accepted 41%.

08

STAGE 08 DIVISIBLE-POOL BOUNDARY

DIVISIBLE-POOL BOUNDARY ORDINARY SHAREABLE UNION TAXES DIVISIBLE POOL DISTINCT TREATMENT FEDERAL EFFECT STATE UNTIED-SPACE CONCERN



CORE CLAIM
• ORDINARY SHAREABLE UNION TAXES
• DIVISIBLE POOL

MECHANISM
• CESSES / SURCHARGES → distinct treatment
• FEDERAL EFFECT → state untied-space concern

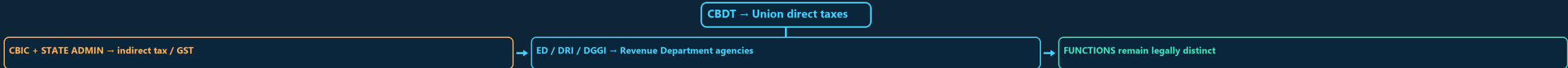
CONSEQUENCE / LIMIT
• ORDINARY SHAREABLE UNION TAXES
• DIVISIBLE POOL

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CESSES / SURCHARGES → distinct treatment; FEDERAL EFFECT → state untied-space concern.

09

STAGE 09 ADMINISTRATION AND ENFORCEMENT

ADMINISTRATION AND ENFORCEMENT UNION DIRECT TAXES CBIC + STATE ADMIN INDIRECT TAX REVENUE DEPARTMENT AGENCIES FUNCTIONS REMAIN LEGALLY DISTINCT CLOSE DISTINCTION DIRECT IS NOT ALWAYS PROGRESSIVE, GST RATE RECOMMENDATION IS



CORE CLAIM
• CBDT → Union direct taxes
• CBIC + STATE ADMIN → indirect tax / GST

MECHANISM
• ED / DRI / DGGI → Revenue Department agencies
• FUNCTIONS remain legally distinct

CONSEQUENCE / LIMIT
• CLOSE DISTINCTION: Direct is not always progressive, GST rate recommendation is not levy...
• CBDT → Union direct taxes

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CLOSE DISTINCTION: Direct is not always progressive, GST rate recommendation is not levy.

09

STAGE 09 ADMINISTRATION AND ENFORCEMENT

ADMINISTRATION AND ENFORCEMENT UNION DIRECT TAXES CBIC + STATE ADMIN INDIRECT TAX REVENUE DEPARTMENT AGENCIES FUNCTIONS REMAIN LEGALLY DISTINCT CLOSE DISTINCTION DIRECT IS NOT ALWAYS PROGRESSIVE, GST RATE RECOMMENDATION IS

CBDT → Union direct taxes

CBIC + STATE ADMIN → indirect tax / GST

ED / DRI / DGGI → Revenue Department agencies

FUNCTIONS remain legally distinct

CORE CLAIM

- CBDT → Union direct taxes
- CBIC + STATE ADMIN → indirect tax / GST

MECHANISM

- ED / DRI / DGGI → Revenue Department agencies
- FUNCTIONS remain legally distinct

CONSEQUENCE / LIMIT

- CLOSE DISTINCTION: Direct is not always progressive, GST rate recommendation is not levy...
- CBDT → Union direct taxes

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CLOSE DISTINCTION: Direct is not always progressive, GST rate recommendation is not levy.

10

STAGE 10 TAX-BASE EDGE CASES

TAX-BASE EDGE CASES ALLIED RURAL ACTIVITY AUTOMATIC AGRICULTURAL INCOME RURAL AGRICULTURAL LAND STATUTORY CONDITIONS EQUALISATION LEVY SPECIFIED DIGITAL-SERVICE HISTORY INDIRECT TRANSFER

ALLIED RURAL ACTIVITY != automatic agricultural income

RURAL AGRICULTURAL LAND → statutory conditions

EQUALISATION LEVY → specified digital-service history

INDIRECT TRANSFER → offshore form, Indian-value link

CORE CLAIM

- ALLIED RURAL ACTIVITY != automatic agricultural income
- RURAL AGRICULTURAL LAND → statutory conditions

MECHANISM

- EQUALISATION LEVY → specified digital-service history
- INDIRECT TRANSFER → offshore form, Indian-value link

CONSEQUENCE / LIMIT

- EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: Separate Constitution, statute, Council...
- ALLIED RURAL ACTIVITY != automatic agricultural income

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: Separate Constitution, statute, Council.

11

STAGE 11 FISCAL-FEDERAL ANSWER SPINE

FISCAL-FEDERAL ANSWER SPINE DEFINE BASE, INCIDENCE AND DESTINATION MAP COLLECTION, ITC AND SETTLEMENT SEPARATE DEVOLUTION, GRANTS AND CESSES BALANCE HARMONISATION, AUTONOMY AND TRUST

DEFINE base, incidence and destination

MAP collection, ITC and settlement

SEPARATE devolution, grants and cesses

BALANCE harmonisation, autonomy and trust

CORE CLAIM

- DEFINE base, incidence and destination
- MAP collection, ITC and settlement

MECHANISM

- SEPARATE devolution, grants and cesses
- BALANCE harmonisation, autonomy and trust

CONSEQUENCE / LIMIT

- DEFINE base, incidence and destination
- MAP collection, ITC and settlement

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: SEPARATE devolution, grants and cesses; BALANCE harmonisation, autonomy and trust.

E

EXTRA SUBORDINATE ENRICHMENT — ONLY AFTER THE COMPLETE CORE

OPTIONAL ADVANCED ENRICHMENT TAX DESIGN BALANCES REVENUE ADEQUACY, EQUITY, EFFICIENCY, SIMPLICITY, CERTAINTY DESTINATION TAXATION REDUCES PRODUCTION-LOCATION ADVANTAGE BUT REQUIRES ROBUST INTER VERTICAL IMBALANCE ARISES BECAUSE HIGHER LEVELS OFTEN HAVE STRONGER HORIZONTAL DEVOLUTION CRITERIA BALANCE FISCAL CAPACITY, NEEDS, EQUITY, DEMOGRAPHY TAX EXPENDITURES THROUGH EXEMPTIONS SHOULD BE EVALUATED LIKE EXPLICIT COOPERATIVE INSTITUTIONS WORK BEST WHEN DATA, COMPENSATION RISKS AND GST COUNCIL

OPTIONAL SOURCE DEPTH

- CAUTION: Tax design balances revenue adequacy, equity, efficiency, simplicity, certainty and
- CAUTION: Destination taxation reduces production-location advantage but requires robust inter
- CAUTION: Vertical imbalance arises because higher levels often have stronger tax bases while
- CAUTION: Horizontal devolution criteria balance fiscal capacity, needs, equity, demography and

ADVANCED DEBATE

- CAUTION: Tax expenditures through exemptions should be evaluated like explicit spending.
- CAUTION: Cooperative institutions work best when data, compensation risks and compliance burdens
- GST Council: federal forum for recommendations on the GST framework.
- CBIC and state GST administrations: administer indirect taxes and compliance.

LEGACY / NUANCE

- CBDT: administers Union direct taxes.
- Finance Commission: recommends tax devolution and grants; it does not set GST rates.
- CAUTION: A destination-based GST sends revenue towards the state where final consumption occurs
- CAUTION: Input credit reduces tax-on-tax only when invoices, eligibility and compliance

OPTIONAL STATUS — This optional depth is unnecessary for a competent core answer; use it only for added nuance after the complete core has been written.